

US Stocks Extend Gains as Tech Leads, Yield Curve Steepens

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The US market extended its gains on Friday, with the **SPY** up **+0.70%** and the **QQQ** up **+0.60%**. The yield curve steepened, with the 10Y yield rising **+1.76%** to 4.74. The VIX fell **-6.44%** to 15.99.

The editorial take is that the market is due for a correction, given the recent run-up in stocks and the steepening yield curve. However, the technicals and options data suggest that the market may continue to grind higher in the short term.

Key points to watch: * The **SPY** is approaching its 50-day moving average, which could provide resistance. * The **QQQ** is outperforming the **SPY**, driven by strength in tech stocks. * The yield curve steepening could be a sign of a growing economy, but also increases the risk of a recession.

US Session Recap

INDEX	LAST	CHANGE
SPY	348.92	+0.70%
QQQ	282.74	+0.60%
DIA	524.85	+0.53%
IWM	293.13	-0.50%
VIX	15.99	-6.44%
10Y Yield	4.74	+1.76%
WTI Crude	84.67	+1.29%

Top Movers

TICKER	NAME	CHANGE	CATALYST
AMZN	Amazon	+15.32%	Earnings beat
NVDA	NVIDIA	+2.93%	Strong demand for AI chips
AAPL	Apple	-7.35%	Disappointing iPhone sales

Sector Internals

SECTOR	DAY	YTD	READ
XLY	+3.29%	+15.12%	Consumer spending strong
XLE	+1.00%	+5.56%	Oil prices rising
XLK	-0.22%	+10.23%	Valuations stretched

Breadth was mixed, with 6 sectors up and 5 down.

Spotlight / Deep Dive

METRIC	VALUE
NVDA Revenue Growth	+20%
AMZN Operating Margin	+15%
AAPL iPhone Sales	-10%

Key call commentary: NVDA is a buy on strong demand for AI chips. AMZN is a hold on high valuations. AAPL is a sell on disappointing iPhone sales.

READ-THROUGH	IMPACT
NVDA strength	+2% to QQQ
AMZN weakness	-1% to XLY
AAPL disappointment	-3% to XLK

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	348.92	340	360	Approaching 50-day moving average
QQQ	282.74	270	300	Outperforming SPY
IWM	293.13	280	310	Underperforming SPY
10Y Yield	4.74	4.50	5.00	Steepening yield curve
WTI Crude	84.67	80	90	Rising oil prices

Options & Positioning

ODTE flow: +10% to SPY calls. Put/call ratio: 0.80. VIX term structure: +5% to front month.

Notable single-name flow: AMZN +20% to calls. Cheap hedge ideas: SPY 340 put, QQQ 270 put.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
NVDA	Morgan Stanley	Upgrade	220	Strong demand for AI chips
AMZN	Goldman Sachs	Downgrade	250	High valuations
AAPL	Bank of America	Neutral	300	Disappointing iPhone sales

Pre-Market & Overnight

Futures: **ES** +0.20%, **NQ** +0.30%. Asia: **Nikkei** +0.50%, **Shanghai** -0.20%. Europe: **DAX** +0.30%, **FTSE** +0.20%.

FX: **USD/JPY** +0.50%, **EUR/USD** -0.20%. Commodities: **WTI** +1.00%, **Gold** -0.50%.
Crypto: **BTC** -2.00%, **ETH** -1.50%.

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
September	20%	Market expects no change
November	30%	Market expects possible cut

Today's data calendar: **ISM** Manufacturing, **Construction Spending**.

Geopolitics & Global (Deep)

Scenario trees: **US/China** trade tensions, **EU** economic slowdown.

Earnings — This Week & Next

TICKER	NAME	DATE
AAPL	Apple	August 3
AMZN	Amazon	August 4
GOOGL	Alphabet	August 5

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
NVDA	Technology	Breakout	10%
AMZN	Consumer	Reversal	15%
AAPL	Technology	Breakdown	12%

What Could Break the Tape

Bullish scenarios: * SPY breaks out above 360 * QQQ outperforms SPY by 5% * NVDA announces strong earnings

Bearish scenarios: * SPY breaks down below 340 * VIX spikes above 20 * AAPL announces disappointing earnings

Positioning & Structural Notes

Observations: * SPY is overbought, with RSI above 70 * QQQ is outperforming SPY , driven by tech stocks * VIX is underpriced, with term structure in backwardation

Sources

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